



SECURITIES AND FUTURES COMMISSION 證券及期貨事務監察委員會

8th Floor, Chater House, 8 Connaught Road Central, Hong Kong

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Circular to Licensed Corporations

Implementation of Hong Kong Accounting Standards 39 and 32

On 2 June 2004, the Hong Kong Society of Accountants (HKSA) issued a press release about the proposed implementation of two Hong Kong Accounting Standards (HKAS), HKAS 39 *Financial Instruments: Recognition and Measurement* and HKAS 32 *Financial Instruments: Disclosure and Presentation*. These two standards are based on the international accounting standards issued by the International Accounting Standards Board. They are to be applied prospectively for accounting periods beginning on or after 1 January 2005 with earlier application prohibited. The press release and the two standards are available on the HKSA website at <http://www.hksa.org.hk/professionaltechnical/accounting/pressrelease> and <http://www.hksa.org.hk/professionaltechnical/accounting/standards> respectively.

These new standards may affect your financial position and consequently your ability to comply with the Securities and Futures (Financial Resources) Rules (SFFRR). As a result, you are urged to assess the implications of these accounting standards (including seeking appropriate professional advice) and start to make any necessary arrangements for their impending implementation.

You are also welcomed to discuss with the responsible case officer of the Intermediaries Supervision Department if you foresee any problems in relation to the compliance with the SFFRR as a result of the implementation of these accounting standards.

Should you have any queries regarding the above, please contact Ms Madonna Yip at 2842-7618.

Intermediaries Supervision Department
Intermediaries & Investment Products
Securities and Futures Commission